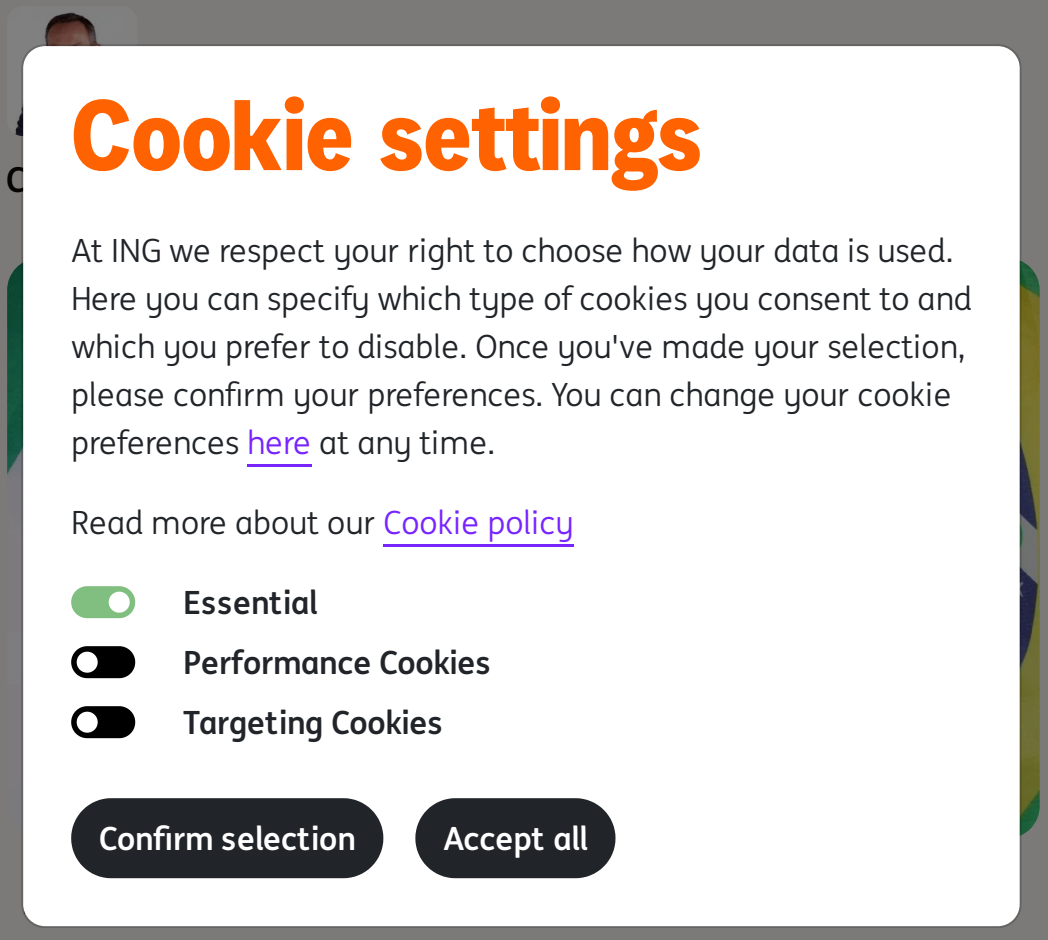
Flávio Bolsonaro's surprising success in the first round of Brazil's presidential elections suggests Brazilian assets and the currency remain prone to a re-rating. In contrast, Banxico seems to have little intention of tracking the Fed in its tightening cycle, leaving the peso quite vulnerable. BRL/MXN looks set to continue its powerful advance



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USD/BRL: The presidency is Bolsonaro's to lose

	Spot	One month bias	1M	3M	6M	12M
USD/BRL	**4.9873**	Mildly Bearish ↘	4.95	4.80	4.75	4.75

- The first-round result in the presidential election proved quite the surprise, where Flavio Bolsonaro secured a two-point lead over incumbent President Lula da Silva. The run-off on 25 October is expected to see the other candidates' votes directed very much to Bolsonaro. The presidency now seems Bolsonaro's to lose.

- A Bolsonaro victory later this month could see another round of Brazilian asset buying on expectations that fiscal consolidation (perhaps 2% of GDP) and deregulation can prompt a re-rating of the Brazil investment thesis. The policy rate could be cut 150bp.
- Despite a tough external environment, we see scope for USD/BRL to test the lows of the year at 4.90 and break lower next year.



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the Banxico-Fed spread at the tightest levels (250bp) seen over the last quarter of a century. The peso is now exposed.

- EM correlations show Mexican local currency debt as some of the most exposed to higher Treasury yields. It seems too early to call a top in US rates, meaning that USD/MXN could trade 18.50.
- Uncertainty around the United States-Mexico-Canada Agreement and US President Donald Trump returning to trade post-midterm election results can see MXN underperform.



Source: Refinitiv, ING Forecasts

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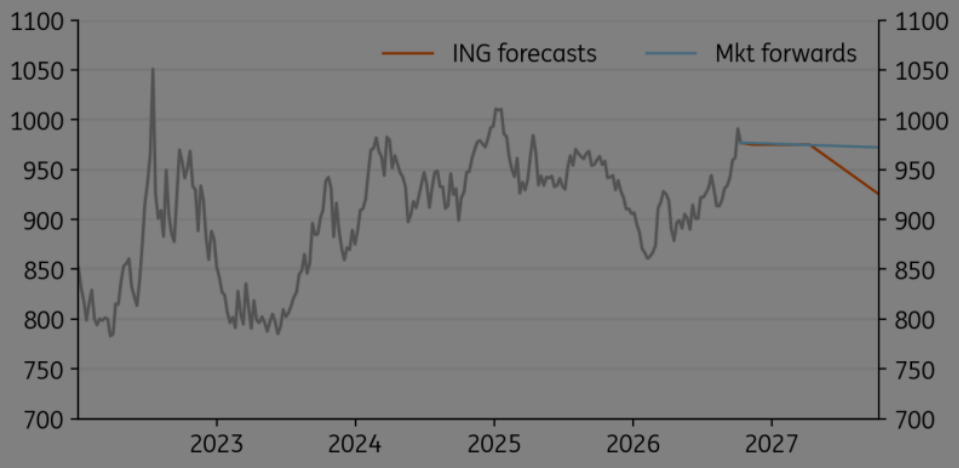
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next three to six months. And we look for USD/CLP to turn lower in 2Q27.



Source: Refinitiv, ING Forecasts

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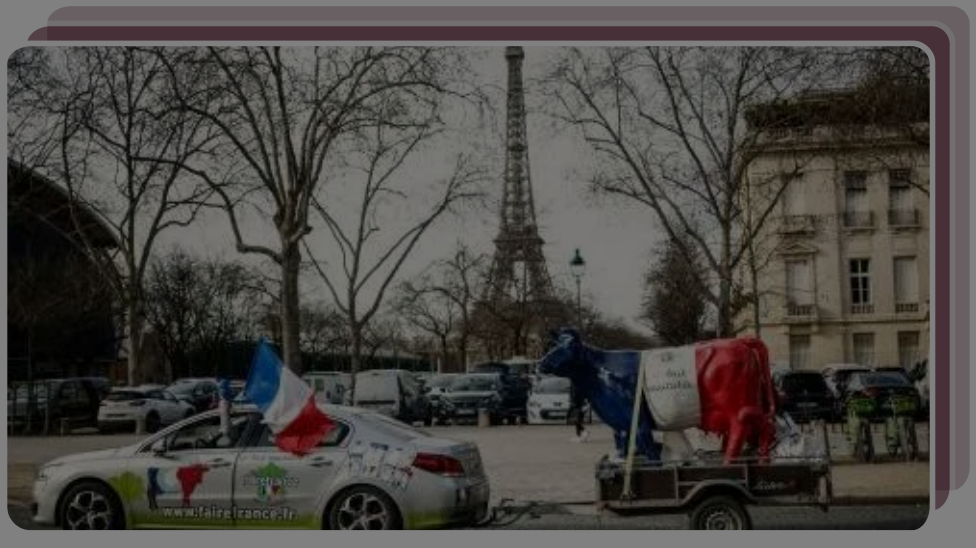
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BUNDLE

YESTERDAY, 10:50

FX Talking: Au revoir, euro bulls

This bundle contains 6 articles

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